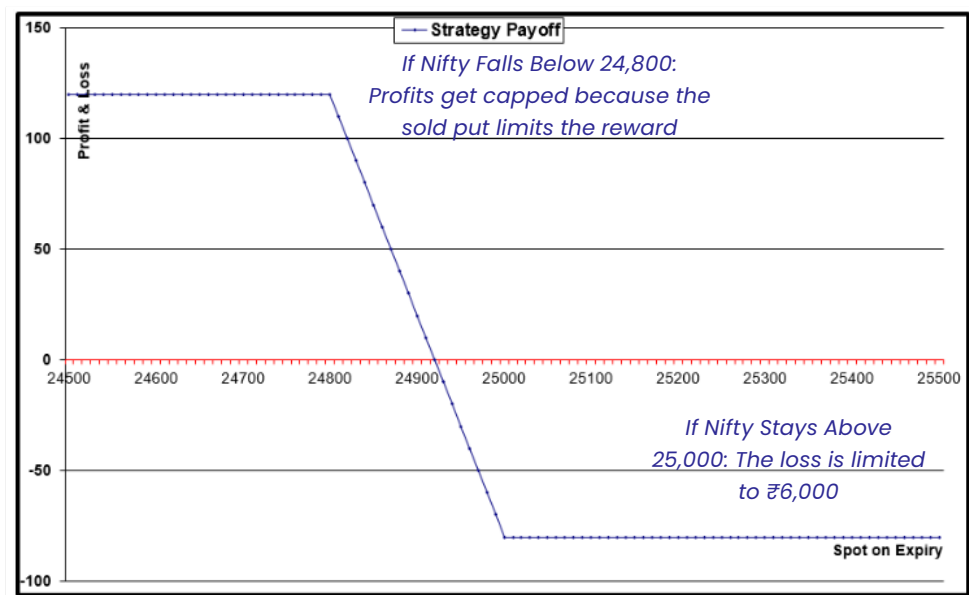




4.2.2 Bear put ratio spread

A bear put ratio spread involves buying one ATM or slightly OTM put and selling two further OTM puts. This strategy lowers the net premium cost further. It also introduces unlimited risk if the market declines significantly. It's best suited for traders anticipating a slight decline in the market.

Buy

One ATM/ slightly
OTM Call Option



Less
Premium
Paid

Sell

Two far OTM Call
Option



Two
Premium
Received

Loss of premium is less but risk is limitless

Example:

Suppose you expect the Nifty to decline slightly but not drastically. You set up a bear put ratio spread as follows: